

**SUBSTITUTE FOR
HOUSE BILL NO. 5813**

A bill to amend 1939 PA 280, entitled
"The social welfare act,"
(MCL 400.1 to 400.119b) by adding section 106c.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 106c. (1) Beginning October 1, 2026, the department shall**
2 **annually report the medical assistance error rate and improper**
3 **payment rate on the department's website and to the standing**
4 **committees of the house of representatives and senate on oversight.**

5 **(2) As used in this section:**

6 **(a) "Error rate" means the total of all of the following:**

7 **(i) Payments under this state's plan with respect to ineligible**
8 **individuals and families.**

9 **(ii) Overpayments on behalf of eligible individuals and**



1 families because of error in determining the number of expenditures
2 for medical care required of an individual or family as a condition
3 of eligibility, or payments where insufficient information is
4 available to confirm eligibility.

5 (iii) Payments, other than payments described in subparagraph
6 (i), for items and services furnished to an individual who is not
7 eligible for medical assistance under this state's plan or a waiver
8 of this state's plan with respect to the items and services, or
9 payments where insufficient information is available to confirm
10 eligibility.

11 (b) "Improper payment" means that term as defined in 31 USC
12 3351.